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U.S. Department of Justice



Leader of \$68M Adult Day Care Fraud Scheme Pleads Guilty

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For Immediate Release

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A New York woman pleaded guilty today to conspiring to defraud Medicaid and pay health care kickbacks at her two Brooklyn social adult day cares.

"The defendant orchestrated a massive scheme to defraud Medicaid, bribing patients to bill a federal health care program for over \$68 million," said Acting Assistant Attorney General Matthew R. Galeotti of the Justice Department's Criminal Division. "Americans will not stand for these schemes that target government programs intended to help society's most vulnerable members and steal from the public fisc. As demonstrated by today's announcement, we will continue to aggressively prosecute those who take part in these crimes."

"With today's guilty plea, Khan stands convicted of acting as the ringleader of a scheme responsible for stealing millions of dollars dedicated to the government's health care safety net," stated U.S. Attorney Joseph Nocella Jr. for the Eastern District of New York. "Our office and the Justice Department take seriously our responsibility to protect government funds from the clutches of fraudsters and will vigorously prosecute corrupt health care operators like the defendant."

"Social adult day care and home health services are intended to support seniors, not serve as vehicles for fraud," stated Deputy Inspector General for Investigations Christian J. Schrank of the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG). "The defendant's actions are an affront to hardworking taxpayers and undermine the integrity of our nation's health care system. HHS-OIG will continue to relentlessly pursue anyone who illicitly exploits Medicaid enrollees and the program itself to ensure they are held fully accountable."

"Zakia Khan has admitted her involvement in a sweeping scheme that defrauded the U.S. government of \$68 million in welfare funds meant for one of our country's most vulnerable populations," stated Special Agent in Charge Ricky J. Patel of Immigration and Customs Enforcement Homeland Security Investigations (HSI) New York. "Today's guilty plea underscores not only the lengths criminal

opportunists often take, but also the state-of-the-art skills and procedures utilized by HSI New York to stop them in their tracks."

"Zakia Khan stole \$68 million from the Medicaid program through bribes and kickbacks—money meant to support the most vulnerable," stated NYPD Commissioner Jessica S. Tisch. "This fraudulent cash grab exploited a federal health care system that people depend on, and the NYPD will keep holding accountable anyone who tries to take advantage of it. Today's guilty plea is another step towards justice, and I am thankful to the NYPD investigators, all our law enforcement partners, and the prosecutors for their meticulous work on this case."

According to court documents, Zakia Khan, 54, of Brooklyn, owned two social adult day cares: Happy Family Social Adult Day Care Center Inc. and Family Social Adult Day Care Center Inc., Responsible Care Staffing Inc., a home health care fiscal intermediary, and Tanwee Services Inc., an entity used to receive and disguise fraud proceeds. Beginning in approximately October 2017 and continuing through approximately July 2024, in exchange for kickbacks and bribes, Khan and marketers whom she employed referred Medicaid recipients to the social adult day cares that she owned, and Khan and the marketers in turn paid kickbacks and bribes to Medicaid recipients for social adult day care services that the day cares billed to Medicaid, but were not provided or that were induced by kickbacks and bribes. Khan and her co-defendants used multiple business entities to launder the fraudulent proceeds and generate the cash used to pay kickbacks and bribes. In connection with her plea, Khan agreed to forfeit \$5 million, including two properties, cash, and gold jewelry seized during a search of her home.

Khan pleaded guilty to conspiracy to commit health care fraud and conspiracy to defraud the United States and to pay and receive health care kickbacks. She is scheduled to be sentenced on Jan. 28, 2026, and faces a maximum penalty of 15 years in prison. A federal district court judge will determine any sentence after considering the U.S. Sentencing Guidelines and other statutory factors.

HHS-OIG, HSI, and the NYPD are investigating the case.

Trial Attorneys Patrick J. Campbell and Leonid Sandlar of the Criminal Division's Fraud Section are prosecuting the case with the assistance of Assistant U.S. Attorney Michael Castiglione for the Eastern District of New York, who assisted with forfeiture matters.

The Fraud Section leads the Criminal Division's efforts to combat health care fraud through the Health Care Fraud Strike Force Program. Since March 2007, this program, currently comprised of 9 strike forces operating in 27 federal districts, has charged more than 5,800 defendants who collectively have billed federal health care programs and private insurers more than \$30 billion. In addition, the Centers for Medicare & Medicaid Services, working in conjunction with HHS-OIG, are taking steps to hold providers accountable for their involvement in health care fraud schemes. More information can be found at www.justice.gov/criminal-fraud/health-care-fraud-unit.

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